ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 05 - LIMIT ORDER ENTRY TECHNIQUES FOR LONG TERM TRADERS

INTRODUCTION: LIMIT ORDER ENTRY TECHNIQUES FOR LONG-TERM TRADERS

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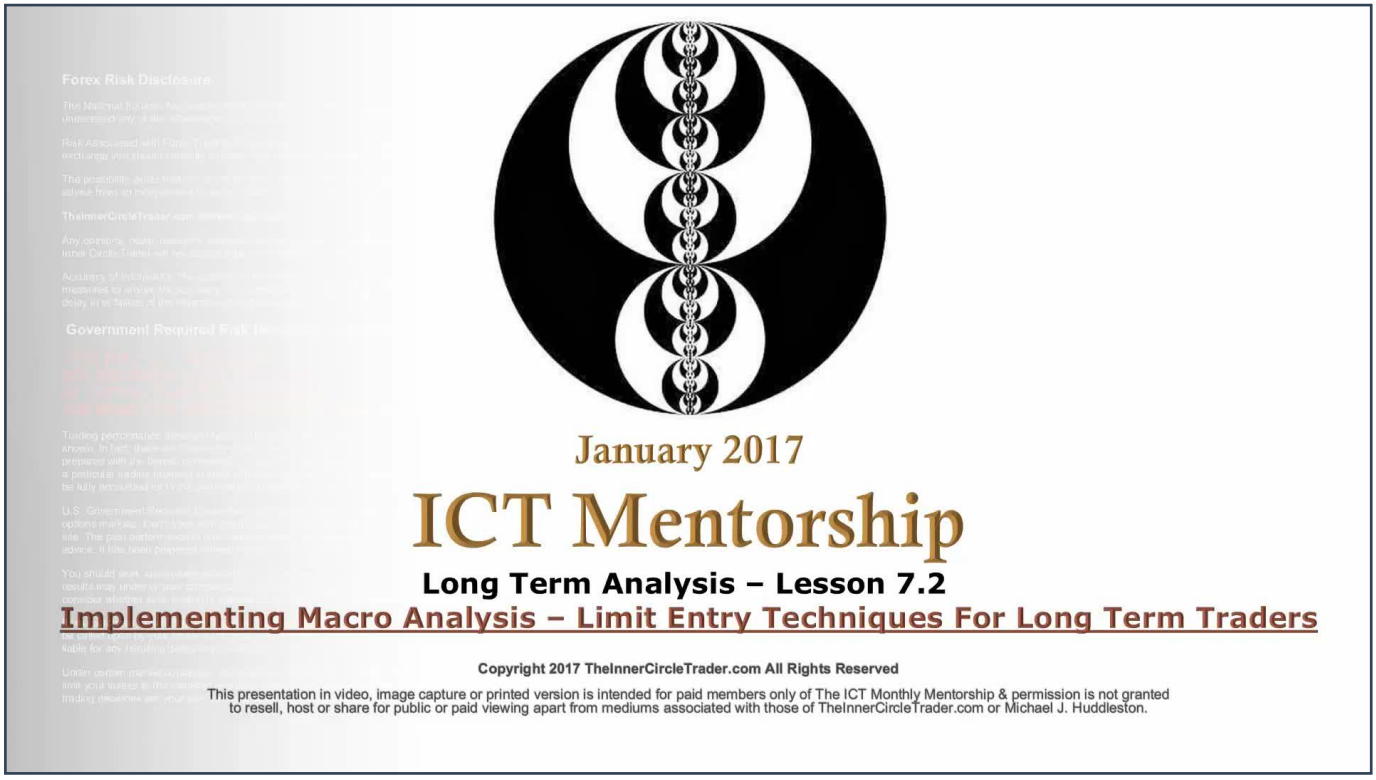

Welcome back to Lesson 7.2 of the January 2017 content, focusing on using limit entry techniques for long-term traders.

BUYING WITH A LIMIT ORDER: INITIAL CONDITIONS

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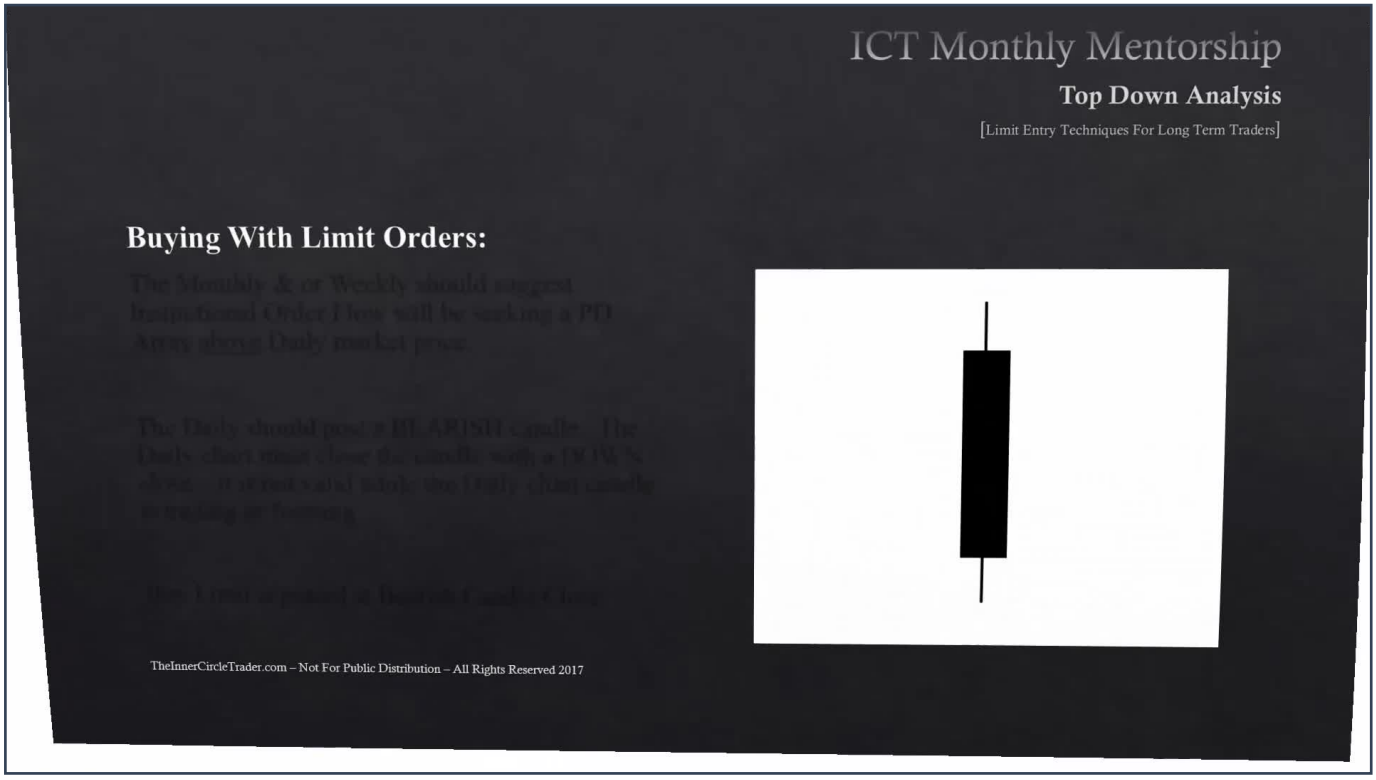
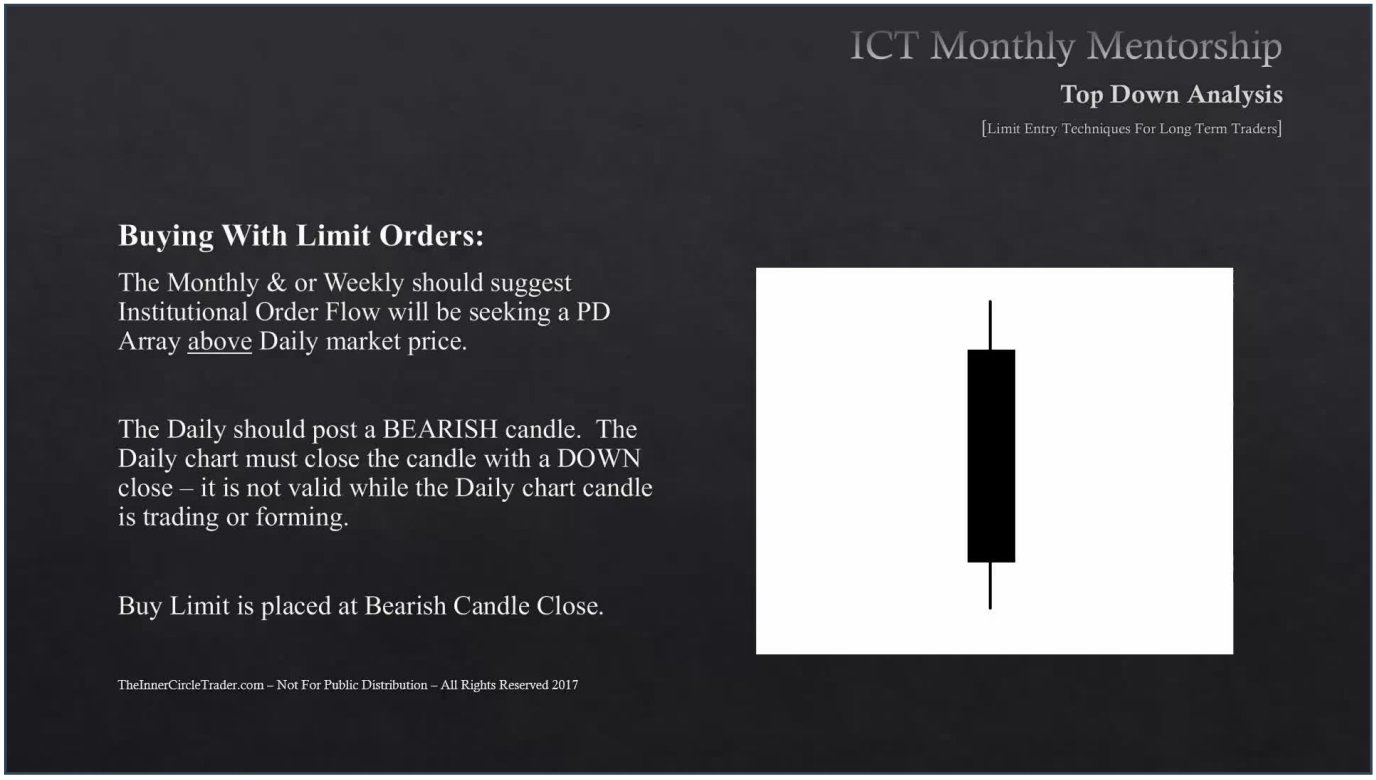


When buying with a limit order, similar to buy stops, the monthly and or weekly charts should suggest institutional order flow will be seeking a PD Array above the daily market price.

- The daily chart must post a bearish candle.

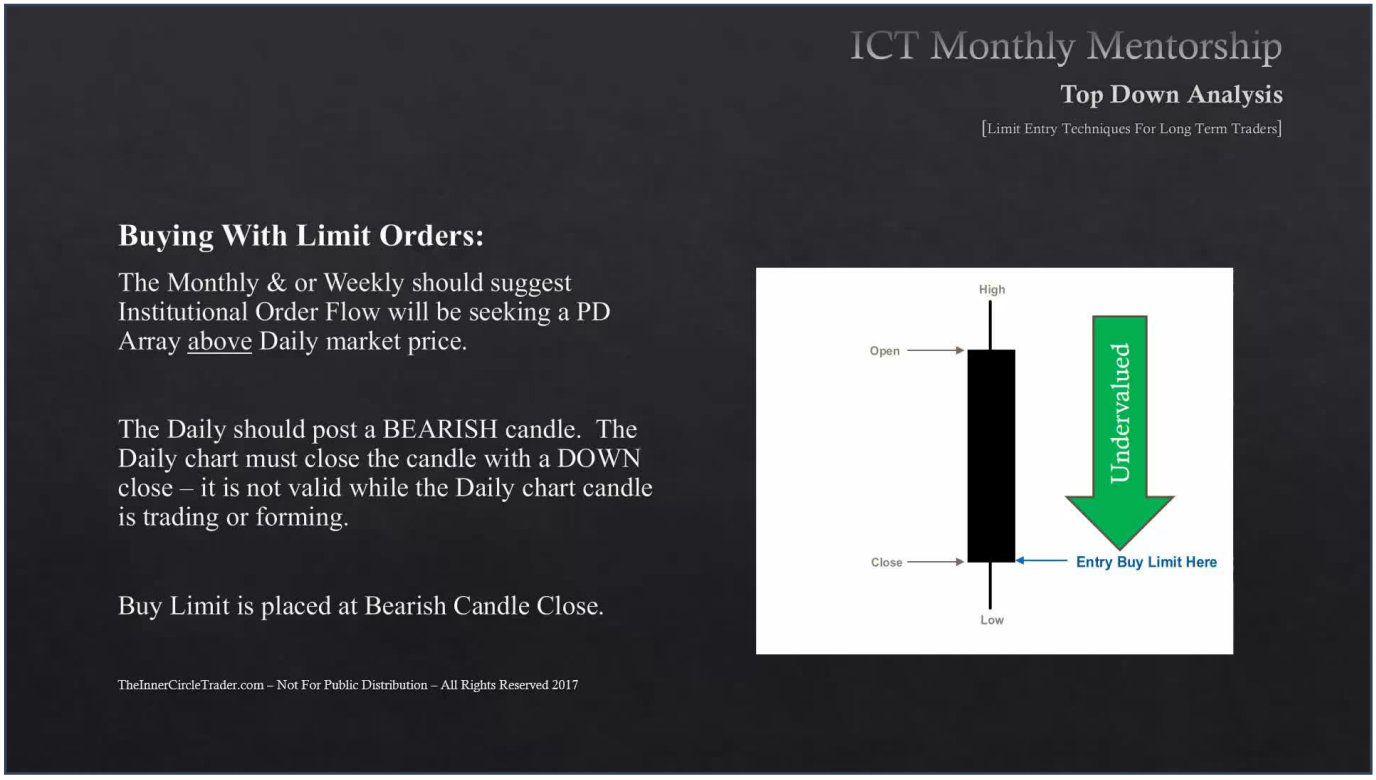
- The daily chart must close the candle with a down close.

- It is not valid while the daily chart candle is trading and or forming.



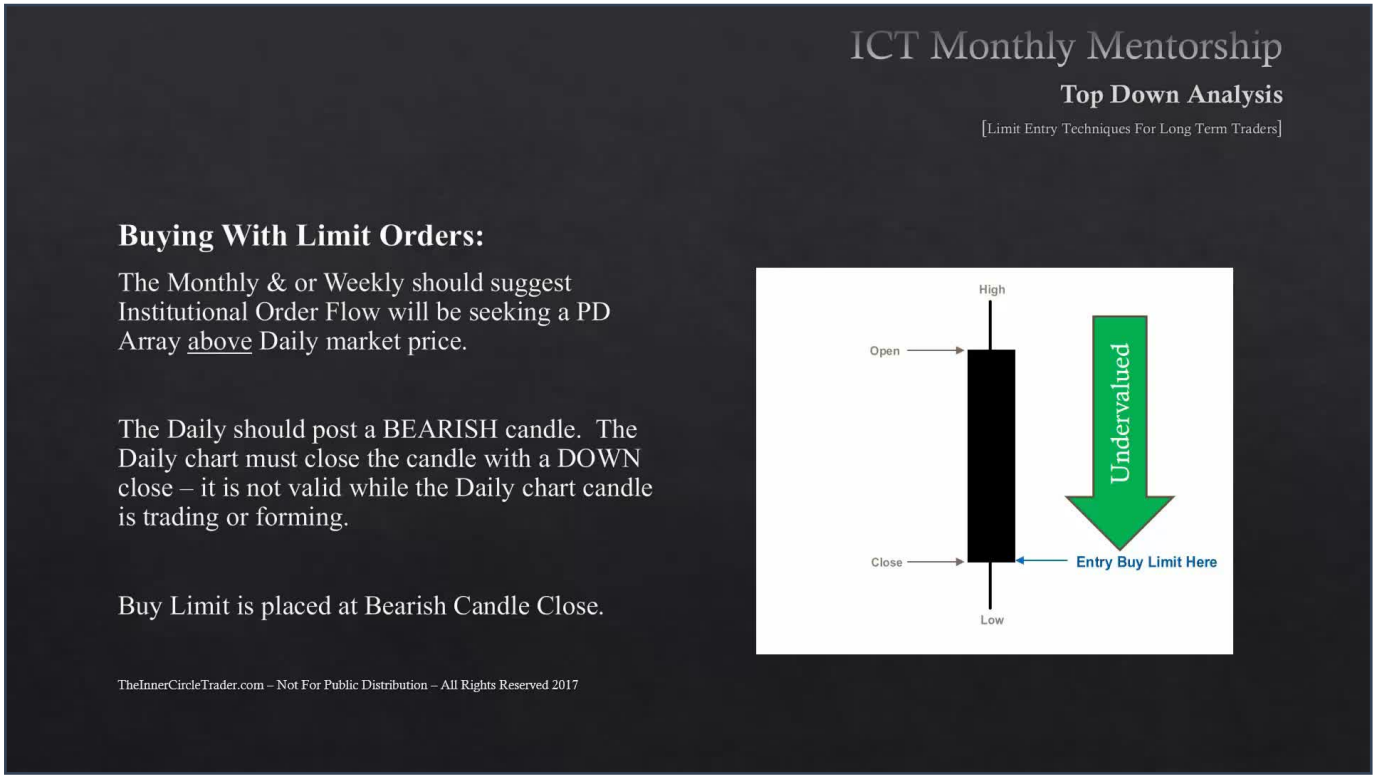
The buy limit is going to be placed at the bearish candle's close on the daily chart. We are looking to enter a buy limit order at the close of a daily candle that's down close, while the market is bullish and we're expecting a higher price move in the asset class we're trading.

- Markets will appear undervalued in an already primarily bullish market condition.



This technique is preferably useful when the market has already shown the willingness to have a market structure break and has started to move higher.

- While swing trading can utilize this for better fills closer to turning points, this module focuses on entering between big turning points to still be a long-term trader and capitalize on significant pips.



When using a buy limit entry at the close, we expect the very next day or next candle to open up and move below that down candle's close.

- This means we are buying at a deeply undervalued price; it's already going to be oversold without requiring any indicators.

- We are buying at a deep, deep discount when the market is predisposed to move higher.

- This technique nails down extremely awesome entry points, providing immediate feedback and almost immediate profitability.

SELLING WITH A LIMIT ORDER: INITIAL CONDITIONS

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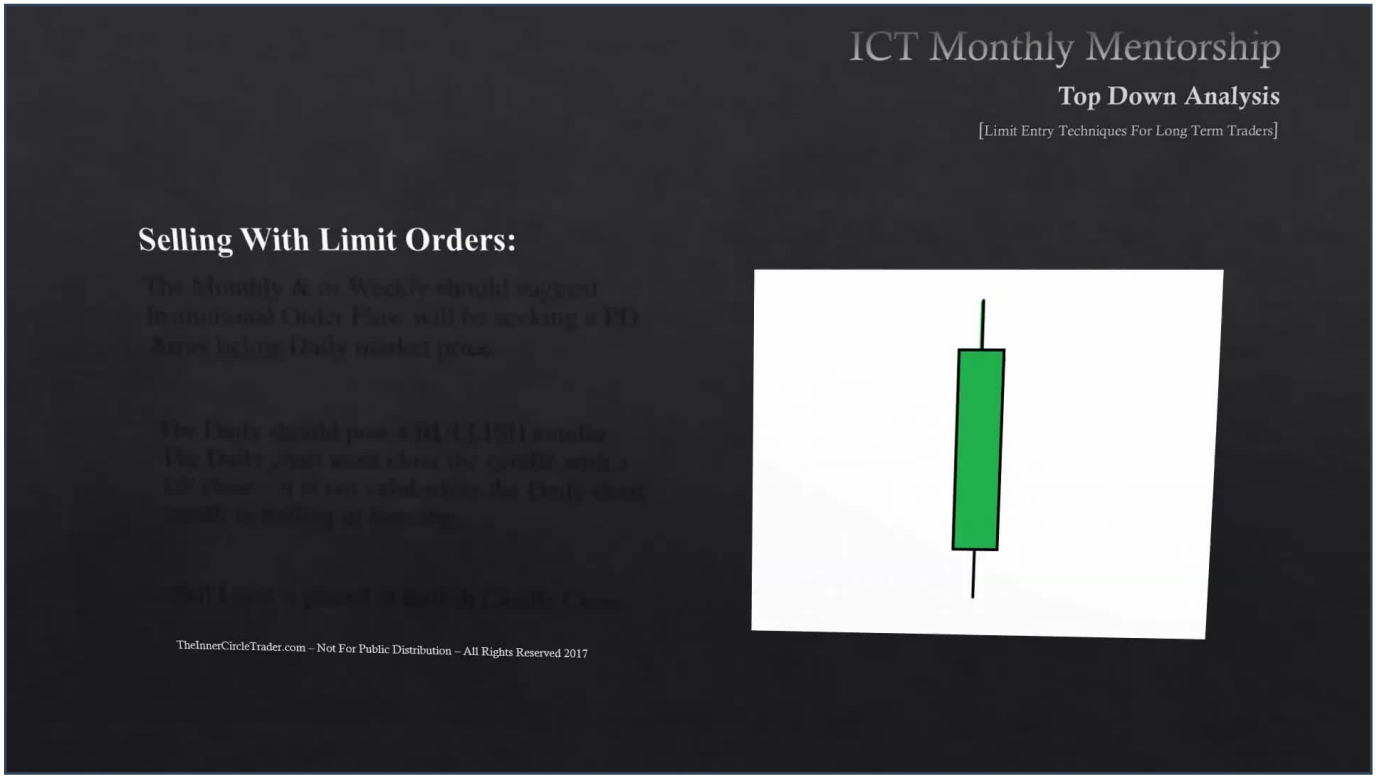
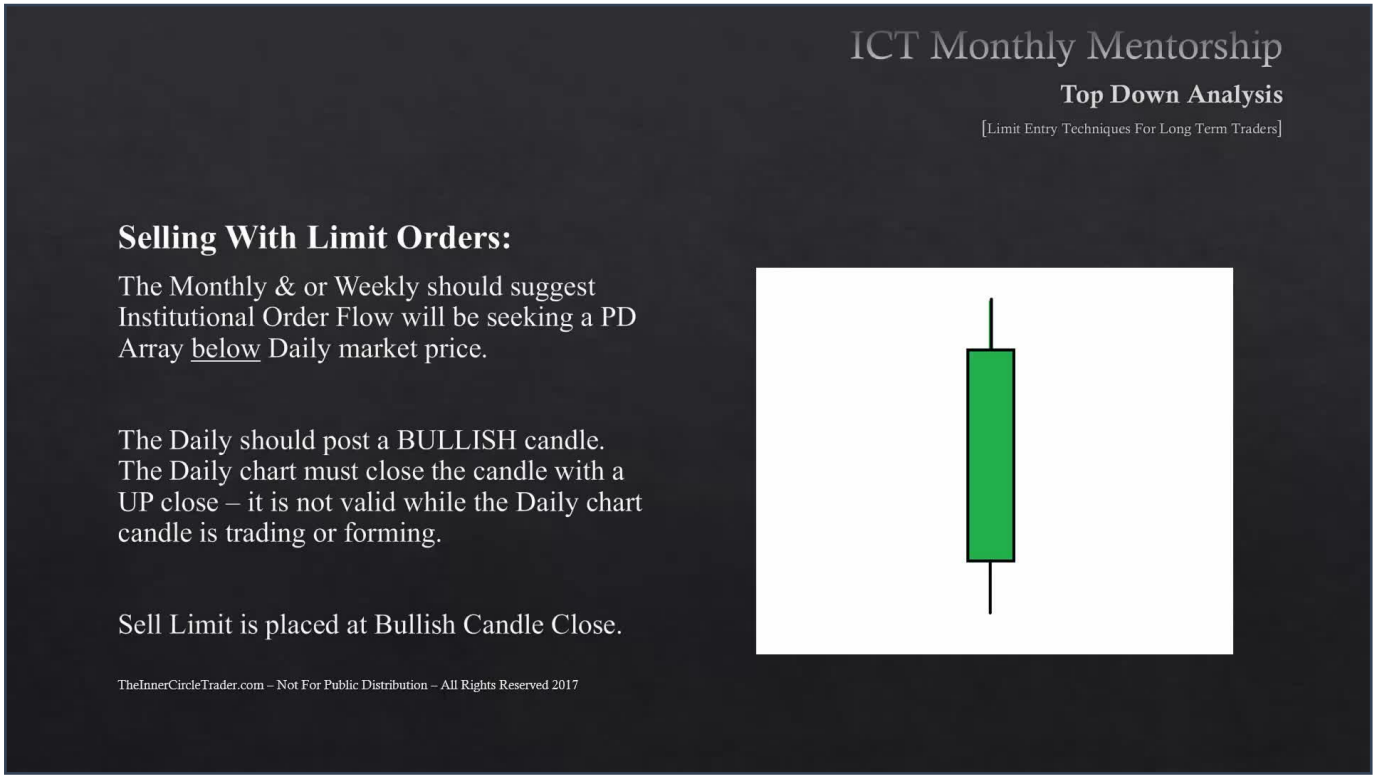


When selling with limit orders, similar to sell stops, the monthly and or weekly charts should suggest institutional order flow will be seeking PD Arrays below the daily market price.

- The daily chart should post a bullish candle.

- The daily chart must close the candle with an up close.

- It is not valid while the daily chart candle is trading and or forming.



The sell limit is going to be placed at the bullish candle's close on the daily chart. We are looking to have a sell limit order right there at the candle's close.

- This means we are selling short in an overvalued or overbought condition in a market that's predisposed to go lower based on monthly and or weekly PD Arrays that will draw price lower.

SELLING SHORT IN OVERVALUED CONDITIONS AGAINST INSTITUTIONAL FLOW

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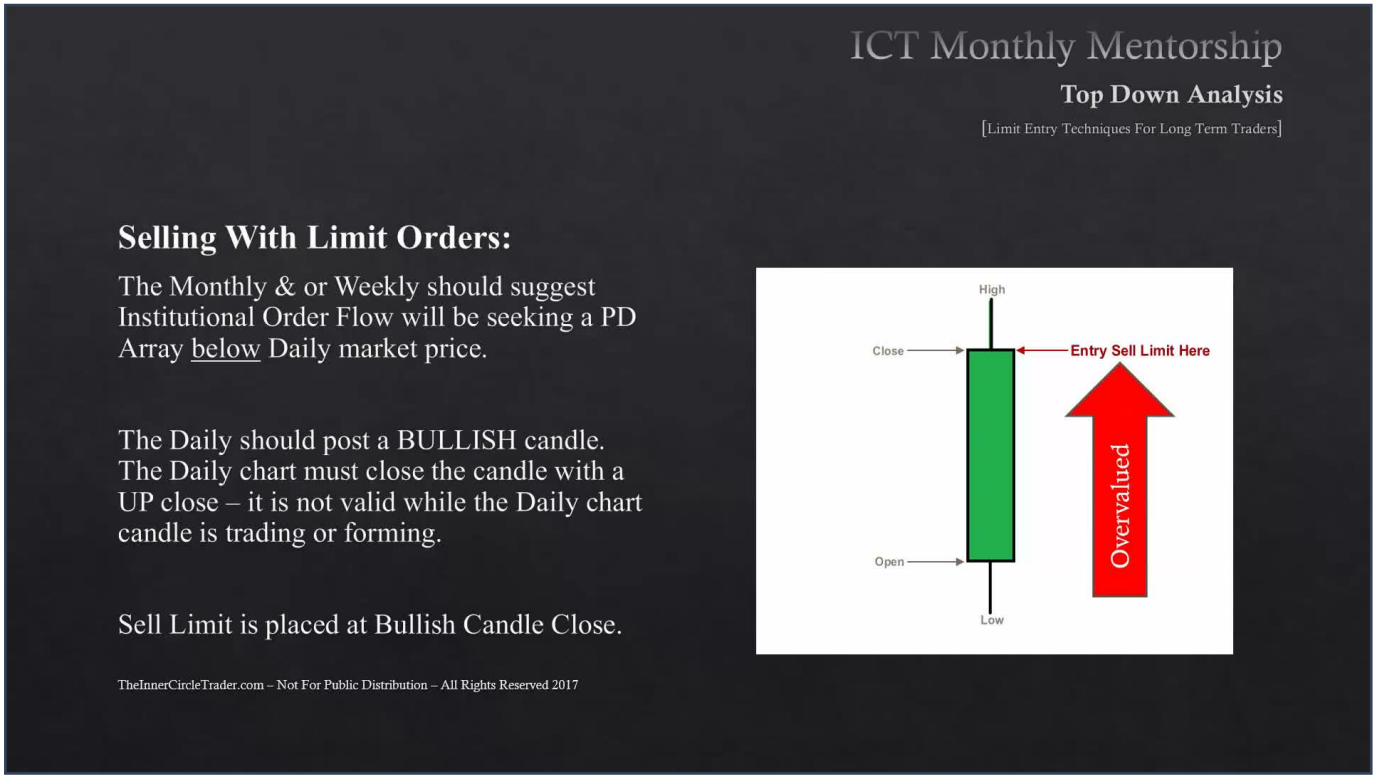


Institutional flow should draw prices lower on the daily, but we are getting an up movement against what longer-term institutional order flow suggests on monthly and or weekly charts.

- While price is moving higher for this particular day, we're looking to sell short at the next day, but it has to be above this particular candle's close.

ICT Monthly Mentorship

Top Down Analysis

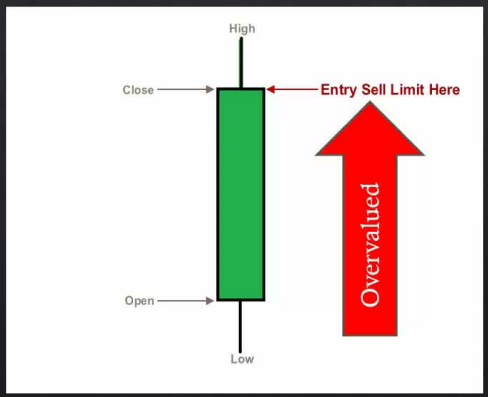
[Limit Entry Techniques For Long Term Traders]

Selling With Limit Orders:

The Monthly & or Weekly should suggest Institutional Order Flow will be seeking a PD Array below Daily market price.

The Daily should post a BULLISH candle. The Daily chart must close the candle with a UP close – it is not valid while the Daily chart candle is trading or forming.

Sell Limit is placed at Bullish Candle Close.



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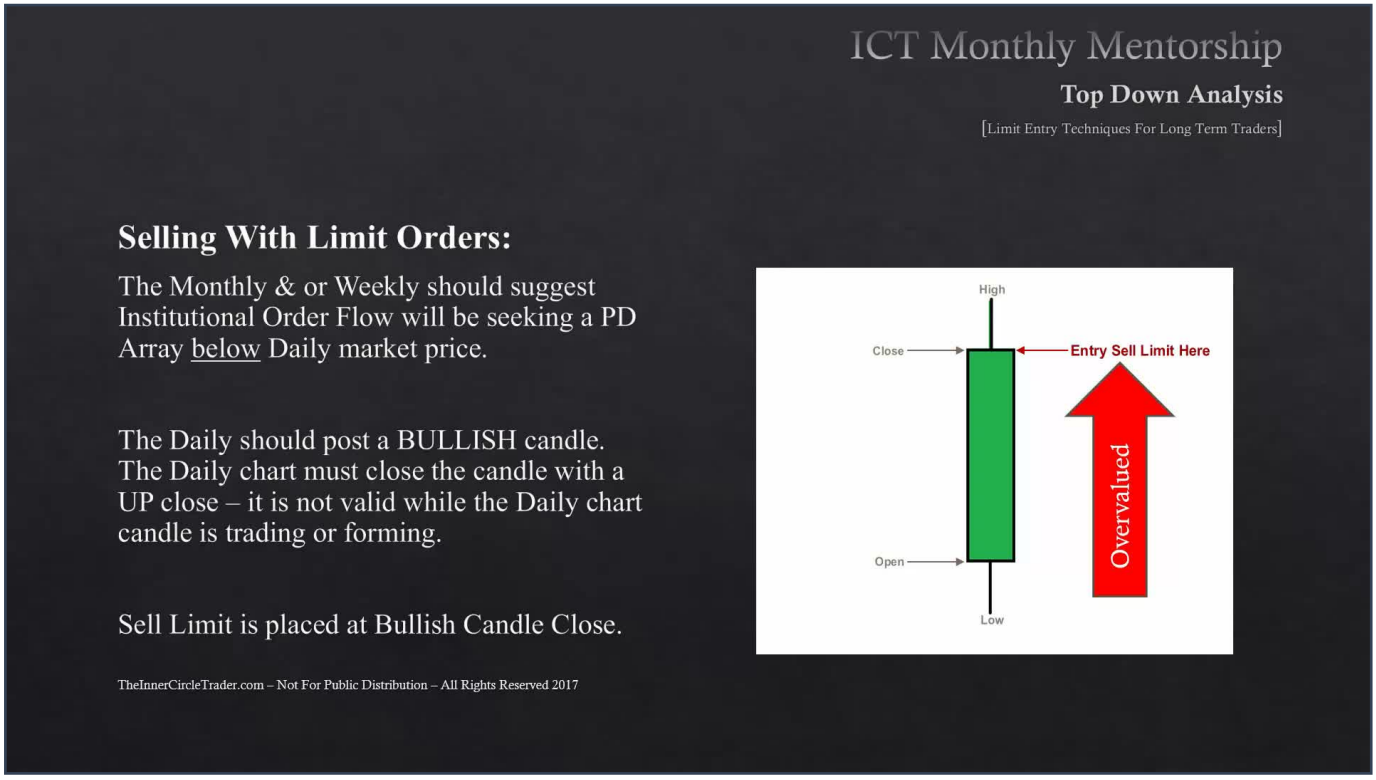
We are not just selling on a limit on any up candle if we have an opinion about being bearish. These conditions are best suited when we align them with a daily PD Array.

- This means looking for a bearish order block, a gap that it's traded into, a filled void, a trade above a recent high, or a retreat back into an old historical low (support broken becomes resistance).

- Do not indiscriminately find up candles and down candles; the candle itself is not the be-all end-all system.

- You must blend the PD Arrays on the daily chart as well.



By blending these conditions with the higher time frame monthly and weekly charts pulling price in one direction (bullish or bearish), when we have opposing conditions on the daily, it creates low-risk, high-probability entry patterns.

- For example, on monthly and weekly, if you're expecting lower prices due to bearish PD Arrays, you're expecting to see up movement on the daily to go to a short-term premium.

- Selling short on a limit above that candle's close allows you to essentially get that last little piece of market movement, that last little surge.

- Many times, in day trades, this is what you'll see as the 'Judas Swing' where it opens, makes the high in London, and then sells off, becoming the beginning of a long-term move.

JAPANESE YEN EXAMPLE: BUY LIMIT EFFECTIVENESS

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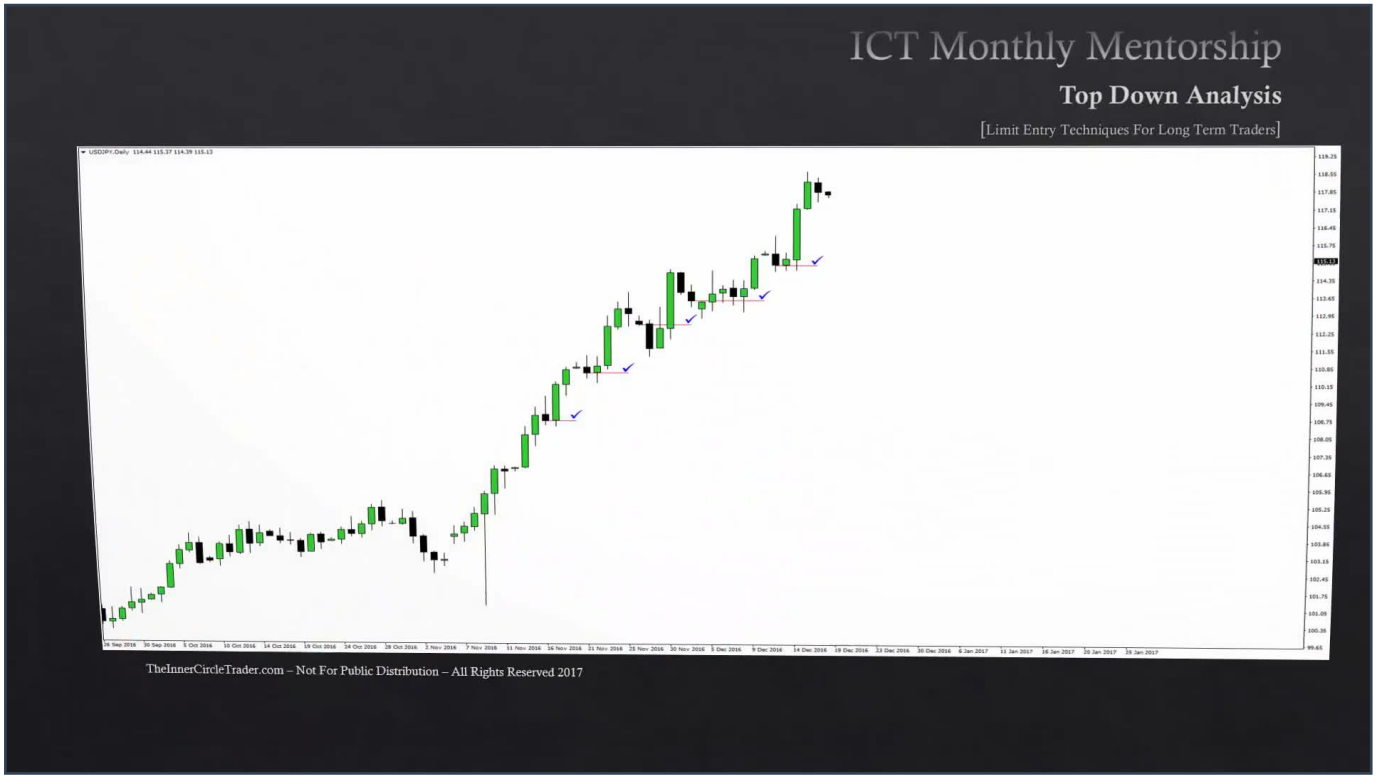
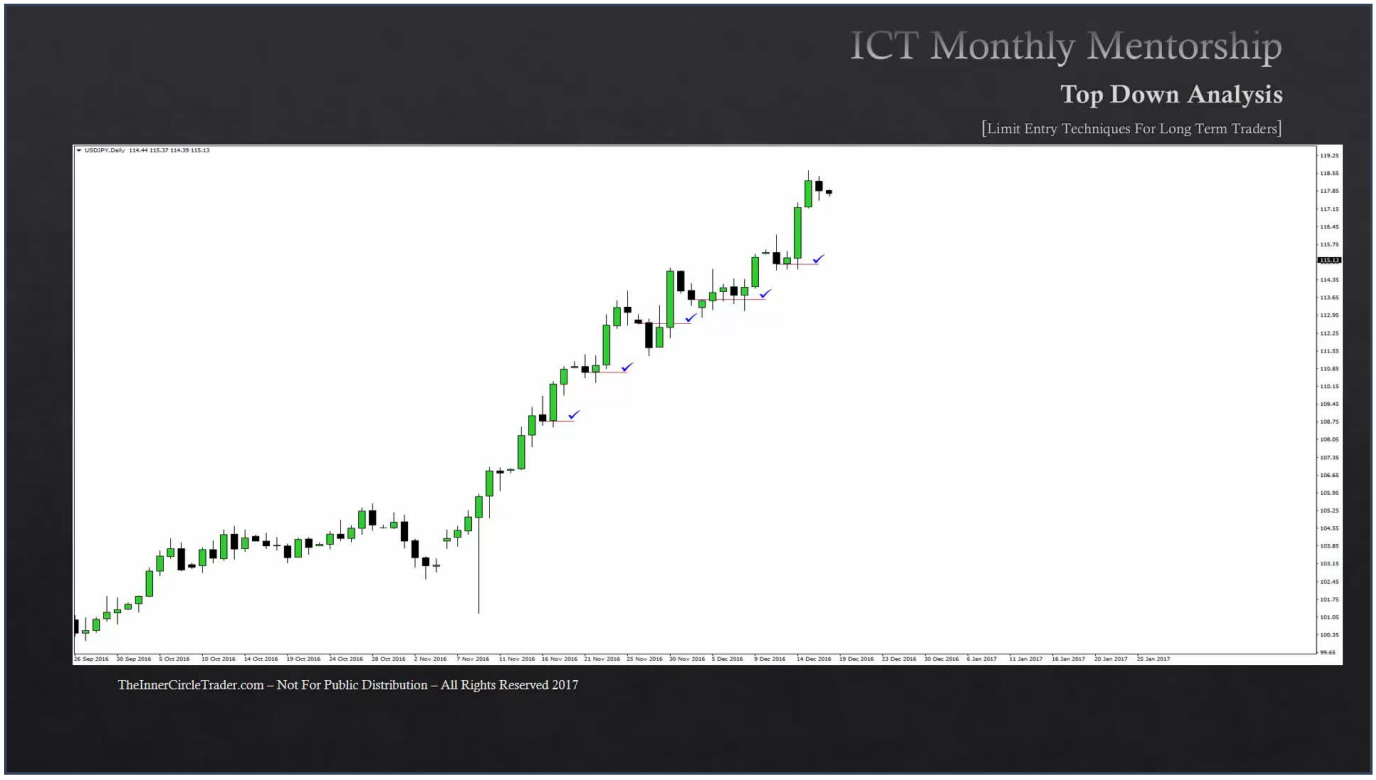


Let's revisit the Japanese Yen example using this idea. You can see the down candle and using its close as our limit order to be a buyer.

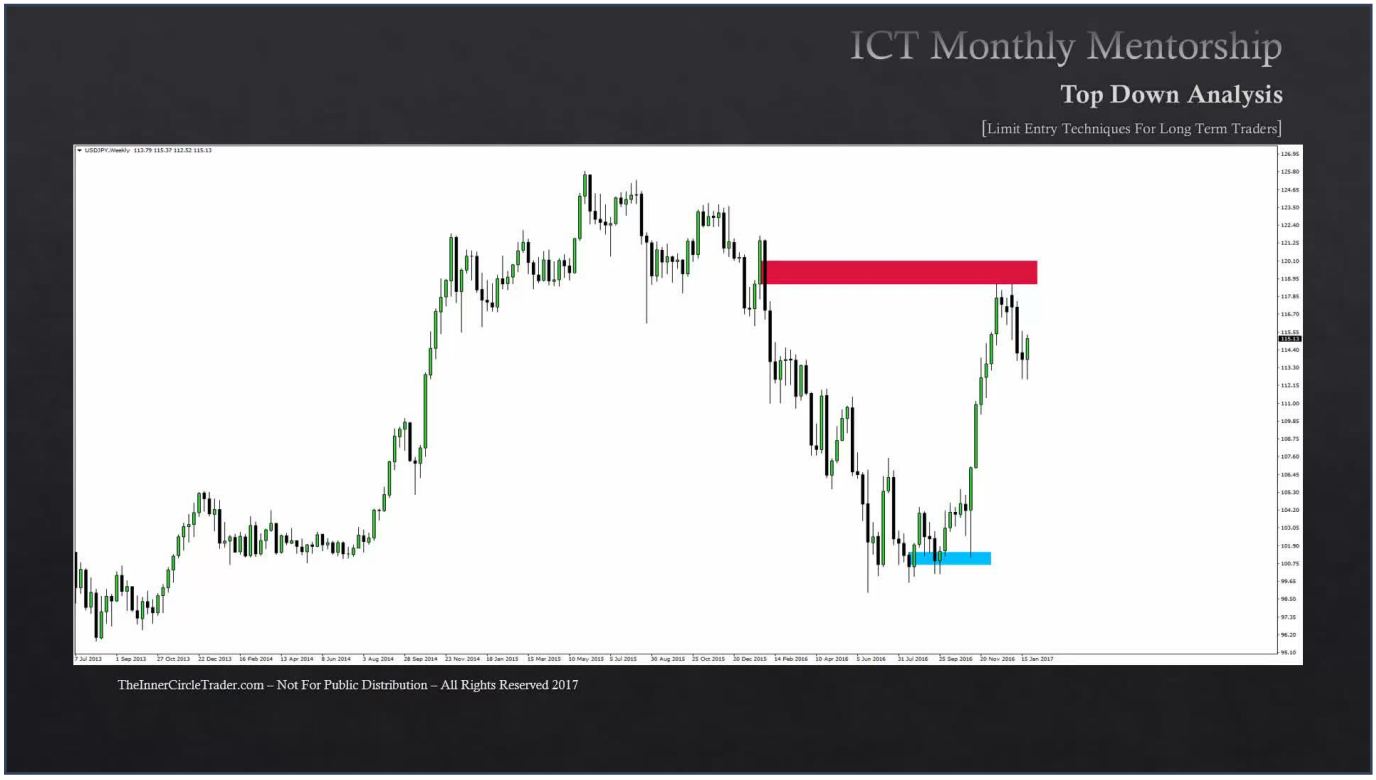
- Each down candle's close, the next day, trades down below it, allowing you to be filled on your limit going long.

- Observe the responsiveness of price immediately after that. There are five examples on this daily time frame.



On the weekly chart, price was moving away from the 100 level. There was a bearish order block up around the 118-119 level, which was the weekly premium PD Array expected to draw price up long term.

- Simultaneously, a bullish order block was identified down in the discount level at 100, showing a willingness to bounce off that level.

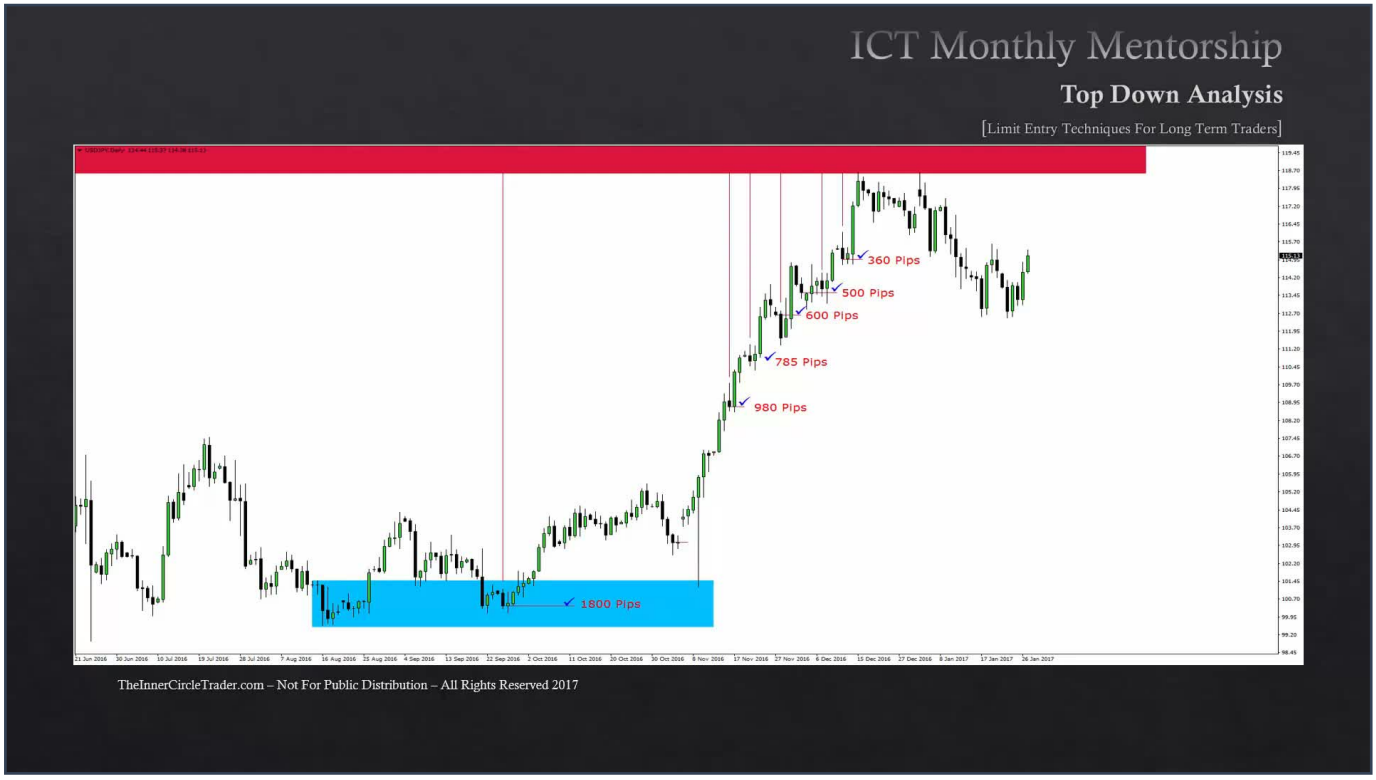


In November, during the post-election rally of Donald Trump, price stabbed one more time down into that weekly bullish order block.

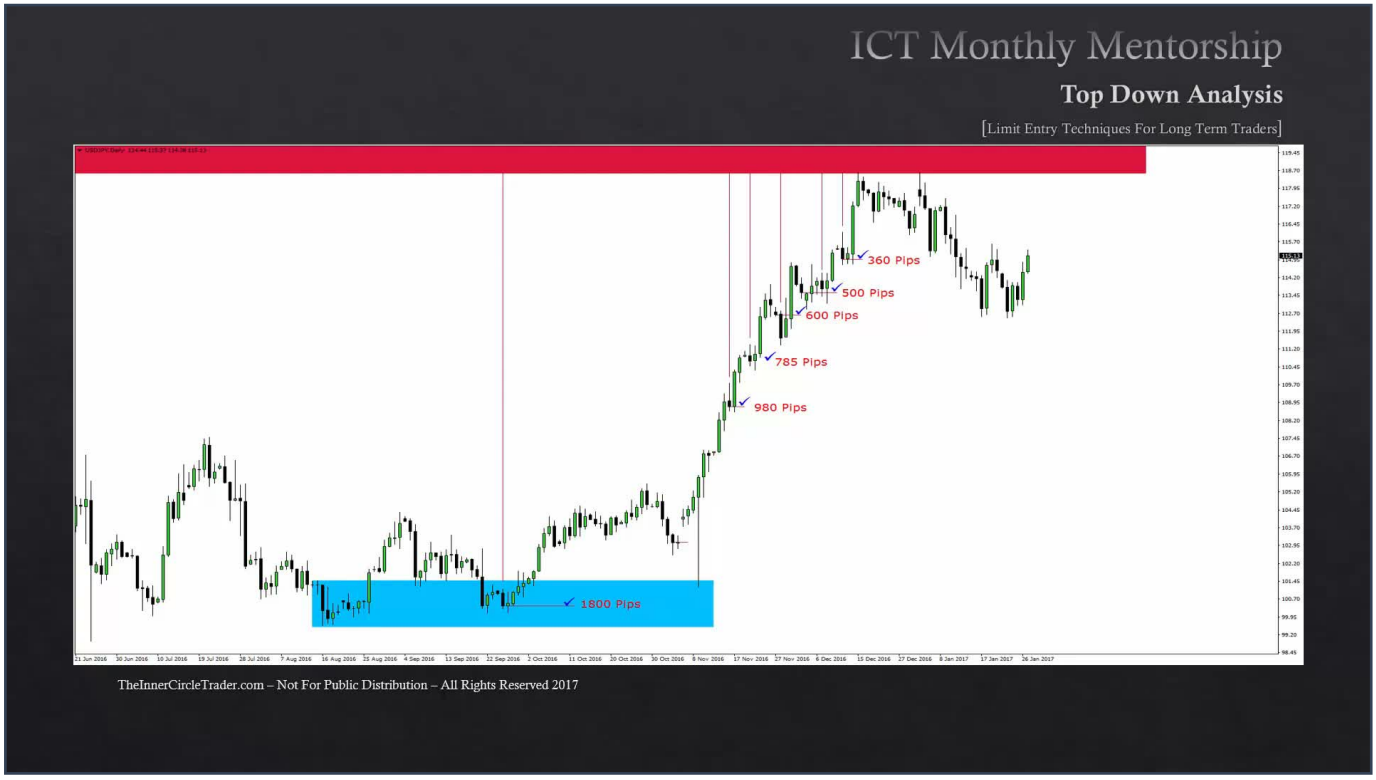
- Prior to that November dip, in September, we saw a rally away from a previous order block formed in August 2016.

- In September, price retraced back down into it, and using the down candle, the very next day, it did trade down below the close, giving an amazing fill.

- The lines drawn from the down candle up into the red shaded area represent the weekly PD Array or bearish order block, indicating where price should be drawn in the weekly.



From the low formed in September, buying on a limit below the daily candle's close, the move all the way up to the weekly PD Array or bearish order block accounted for 1800 pips for that particular low.



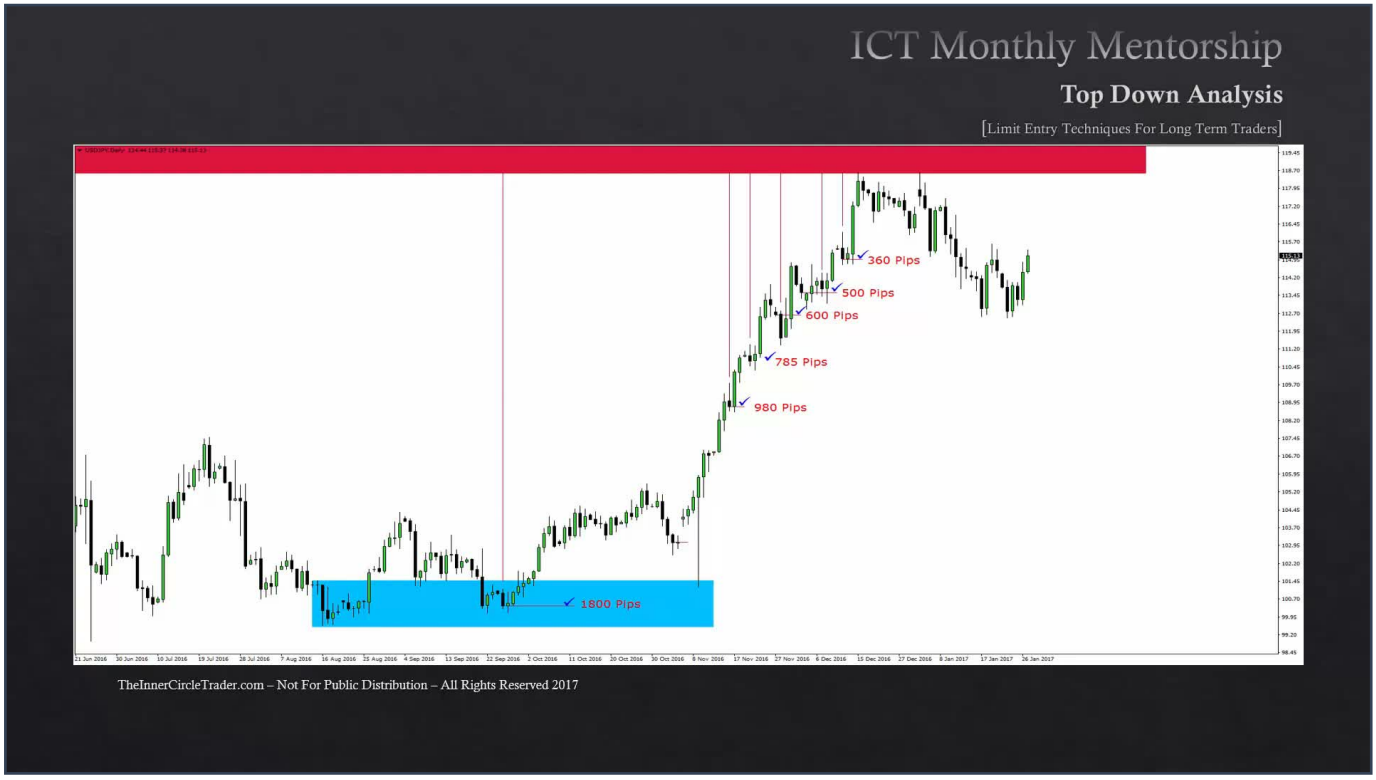
The next opportunity came around November 17th. A limit order below the daily close would have been filled, and from that point up to the weekly PD Array (weekly bearish order block), it was a 980-pip move.

- The next down close on the daily chart, using its close as a buy limit order entry point, resulted in a 785-pip move.

- Another down candle yielded a 600-pip rally.

- Another offered 500 pips.

- The last one, right before price reached the weekly PD Array, provided a 360-pip price move.



Again, buying below the candle's close on a limit means you're buying that real deep, suppressed, undervalued market.

- It's in a deep discount and will look to seek to move to a premium.

- This is an amazing concept to study on your charts, especially on daily time frames.

ABUNDANT OPPORTUNITIES ON HIGHER TIME FRAMES

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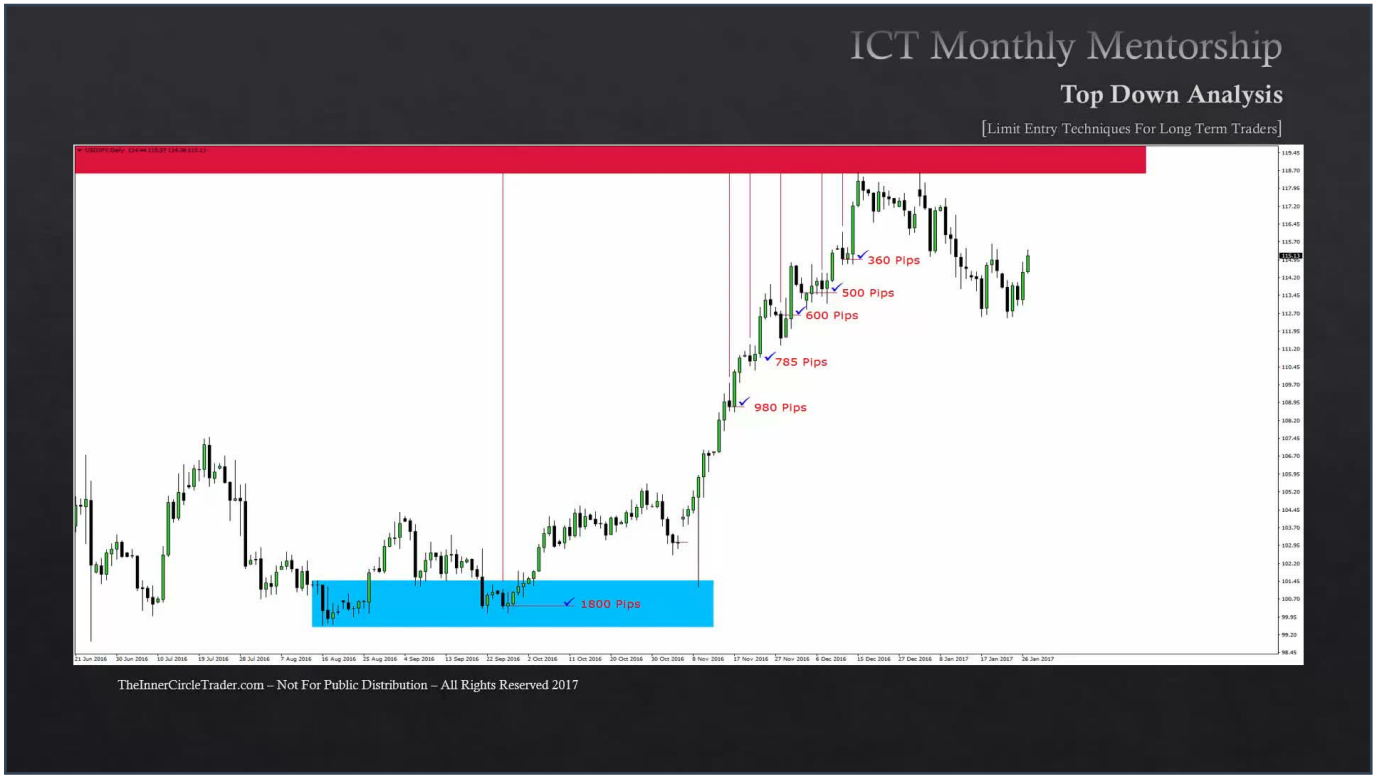
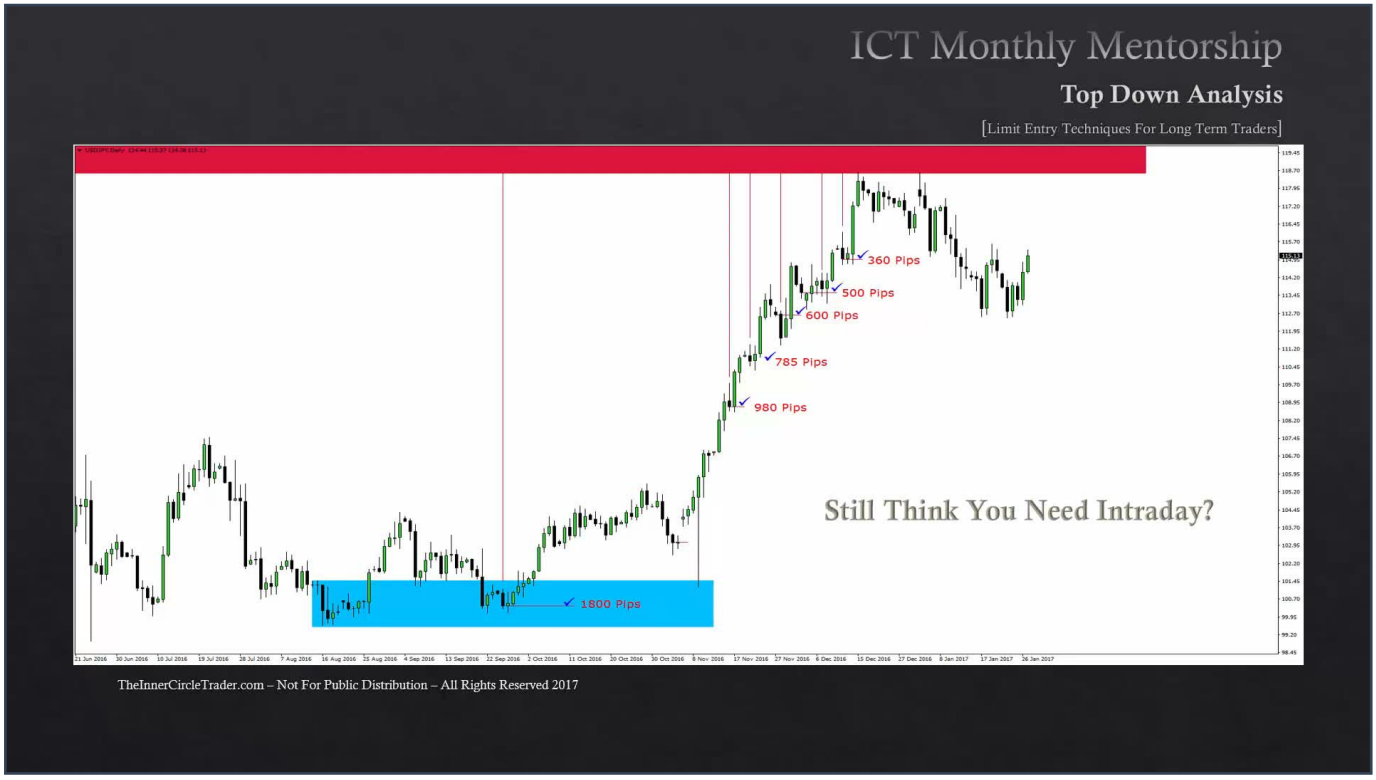


Many folks assume that because we're on higher time frame charts (not hourly or 15-minute charts), there aren't many opportunities. While there aren't as many as day trades or scalps, there are plenty of opportunities.

- When in long-term trends with a clear indication to move higher to a monthly or weekly level, there are many opportunities to get positioned without needing to catch the exact high or low.

- Even beyond the equilibrium price point, there were many opportunities to gain several hundred pips. Such numbers are very respectable and not to be scoffed at.



Do you still think you need intraday trading to make pips? Hopefully, after this teaching, you'll quickly conclude that you do not need it.

- For those who felt ICT only teaches day trading and short-term things, this is the type of trading where you can find opportunities, maintain relatively low risk, and find a profitable framework for your trading ideas to pan out.

- This example used just one pair and one focus on a PD Array on a weekly and monthly basis.